the sixteenth century, but the Dutch were defeated by Koxinga, a Ming dynasty loyalist, in 1662, after the Manchus had established their rule over the Chinese mainland. Qing forces then invaded the island and defeated Koxinga and incorporated Taiwan into their empire. Though the Qing rescinded the prohibition against foreign trade in 1685, its conduct was nevertheless confined to the southern port city of Guangzhou. Guangzhou had served for centuries as a gateway to China and had resident communities of Indian, Arab and Persian traders. Not surprisingly, the port city resumed its role as the chief foreign trade port of China and soon came to dominate the trade. Until the First Opium War of 1839–42, which led to the opening up of several other Chinese ports to foreign trade, Guangzhou – or Canton, as it was known in the southern Cantonese dialect – controlled the interface between Chinese and foreign traders. Foreign traders were allowed to do business through a designated number of Chinese ‘cohongs’ or merchant guilds. Foreigners resident in Guangzhou were confined to thirteen ‘factories’, or trading establishments, situated along the Pearl River. They were not allowed to travel to any other part of China and do business there. Trade through Canton was very lucrative, both for Chinese and foreign merchants. There was soon a large and growing market for Chinese silk, porcelain and tea in Europe, but not much by way of exports to China. Initially, the European powers muscled into the well-established trade networks dominated by the Arabs, Indians and Persians who traded in Indian cotton cloth and spices from the South-East Asian countries. Products of European industrialization would figure in the trade only at a later stage.

There was a particularly high demand for Chinese tea in Britain, for which payment was made in silver. Britain suffered a chronic trade deficit with China as a result of this, and this is where the sale of opium, produced in its Indian colony, provided an answer.

The East India Company (EIC) had, under Robert Clive, defeated the Nawab of Bengal at the battle of Plassey in 1757 and acquired control over one of the richest provinces of the Mughal empire, which at the time included what are now the states of Bengal, Bihar and Odisha. This was